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POLICY NUMBER: **FP-FIN-019**

JOURNAL ENTRY

ACCOUNTING POLICY

This document provides guidance regarding Hilton Worldwide Holdings Inc.'s (the "Company" or "Hilton") (1) structure, (2) the appropriate use of and (3) the review and approvals for manual general ledger journal entries.



POLICY STATEMENT

Journal entries are utilized to record certain financial transactions into the general ledger (typically PeopleSoft) or consolidations tool (HFM), including both system generated transactions and manual transactions. Typical examples of system generated transactions at Hilton are vendor payments, allocations or customer billings. Typical examples of manual transactions at Hilton are accruals, accounting for non-routine events, reclassifications or corrections. Treatment of a transaction as system generated or manual may vary across regional offices based on nature and volume.

All journal entries should have supporting documentation (1) demonstrating the appropriate application of accounting policies and procedures and (2) appropriate approval.

APPLICABILITY

This policy applies to all Corporate Accounting personnel.

EXCLUSIONS/ EXCEPTIONS

This policy does not apply to system generated journal entries. Examples of system generated entries include depreciation expense entries generated by the Asset Management (AM) system, entries generated via the accounts receivable or accounts payable system or system generated allocations.

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

If an accounting consultation for a transaction is required per the applicable policy, the consultation must be obtained prior to recording the journal entry. Note that if a transaction must be recorded before the accounting consultation is received (i.e., upon the receipt of cash), the accounting consultation must be initiated upon recognition of the original journal entry and evidence of the initiation must be retained within the original journal entry support. Any true-up to the original journal entry required based on the results of the accounting consultation must be recorded within the quarter the transaction occurs.

Please contact a member of the Accounting Research & Policy Group or AccountingResearch&Policy@Hilton.com.

JOURNAL ENTRY TYPES

The following provides a listing of the common types of journal entries to be used in recording transactions to the general ledger and consolidations tool.

Recurring Entries

Recurring entries are routine entries to record normal business activities. A recurring entry is coded to the same account and recorded for the same amount each period. The journal entry files are established at the beginning of the fiscal year or at original initiation of the transaction. An example includes the monthly amortization of an insurance policy prepayment over the term of the policy (e.g. 6 months or 12 months).

Standard Entries

Standard entries are entries to record normal business activities. A standard entry generally uses the same account coding but the amounts can vary period to period. Examples include entries to record payroll accruals, management fee income, depreciation and amortization.

Non-standard Entries

Non-standard entries are manual entries to record non-routine or non-recurring entries or adjustments. Examples include recording the result of changes in accounting estimates, asset write-offs, prior period adjustments, or non-routine transactions.

Reclass Entries

Reclass entries are non-standard entries to adjust or reclassify a recorded amount from one account or department to another. Examples include reclassifying an account balance from an incorrect business unit to the correct business unit.

JOURNAL ENTRY PREPARATION AND POSTING

Journal Entry Preparation

- Recurring and standard journal entries should be prepared by the Team Member responsible for the journal entry per each corporate accounting and finance department's monthly close checklist. Non-standard and reclass journal entries should be prepared by the Team Member responsible for the entry or the Team Member who identified the need for the journal entry.
- The Team Member preparing the entry should understand the nature and purpose of the journal entry.
- All journal entries must be adequately supported by documentation explaining the rationale and supporting the amount of the journal entry. Support for prior period adjustments or a correction of an error must include sufficient information to understand the background and how the adjustment will bring the balance to the correct amount or remediate the error. Please refer to FP-FIN-036 Misstatement Review and Evaluation Accounting Policy for **consultation requirements** related to prior period adjustments, errors, or reclassifications in excess of the defined materiality threshold within that policy.

Examples of supporting documentation include:

- Bank statements
 - Detailed calculations (e.g., bad debt reserve calculations, accrual estimates)
 - Vendor invoices
 - Copies of incorrect journal entries (or journal entries to be corrected)
- All journal entries are required to have appropriate support attached or cross-referenced to other locations or files as appropriate.
 - The amounts in the journal entry must agree to the supporting documentation and be recorded to the proper account, department, Business Unit, Operating Unit, Project, affiliate, and product code (as applicable).
 - All journal entries must be signed and dated by the preparer. **Note** that this requirement is not applicable for the journal entries posted through the electronic workflow process that maintains an electronic record of journal entry activity.

Journal Entry Posting

- Journal entries should be uploaded directly to PeopleSoft, Sun or HFM using journal entry upload files or entered directly into the system.
- The Team Member posting the journal entry shall verify that the entry has posted to the general ledger or consolidations tool.
- The journal entry should be posted by the business day due date per the monthly close checklist. If the journal entry will not be posted by the due date, the preparer shall immediately notify their supervisor (GL only).

Once the journal entry has posted, the Team Member posting the journal entry shall update the monthly close checklist indicating that the task has been completed (GL only).

JOURNAL ENTRY REVIEW AND APPROVAL

Journal Entry Review

- All manual journal entries should be reviewed and approved by the appropriate personnel level for accuracy, completeness, GAAP adherence and Corporate Policy adherence. The reviewer must understand the nature and purpose of the journal entry and ensure that there is sufficient supporting documentation corroborating the journal entry.
- The reviewer must ensure the amounts in the journal entry reconcile to the supporting documentation and that the amounts are recorded to the correct account, department, Business Unit, Operating Unit, Project, affiliate, and product code (as applicable).
- The approver/reviewer of the journal entry cannot be the same individual as the preparer.
- The approver/reviewer of the journal entry must be at least one level more senior than the preparer of the journal entry.
- The entry must be reviewed and approved prior to posting or prior to the due date stipulated in the monthly close checklist (depending on the GL system utilized).

- Any journal entries processed after period close (e.g., adjustments) must be approved prior to posting (see Section IV below as well).

All journal entries shall be signed and dated by the reviewer/approver. Note that this requirement is not applicable for the journal entries posted through the electronic workflow process that maintains an electronic record of journal entry activity.

POST-CLOSE JOURNAL ENTRIES

Post-close journal entries (excluding Corporate Tax and the Consolidations Tool Journal Entries)

Any necessary journal entry not recorded prior to the monthly close in excess of \$500K must be communicated to the VP of Consolidations and SVP Controller. Any journal entry recorded post close must be approved by either the VP of Consolidations or SVP Controller.

JOURNAL ENTRY BATCH NAMING CONVENTION (PEOPLESOFT 9.2)

- Digit 1: S = Standard/Recurring, N = Non-standard/Reclass
- Digit 2: Location (See Appendix A for a list of location options)
- Digits 3 - 4: Department (see Appendix B for a list of department options)
- Digits 5 - 7: Initials (three digit initials of journal entry preparer)
- Digits 8 – 10: number
- e.g., SMCAMJS001 (Standard, Memphis, Corporate Accounting, Mary Jane Smith, 001)

Note: entries posted in PeopleSoft 8.9 (typically hotels and/or HR entries) or international ledger systems are consolidated into PeopleSoft 9.2. As part of that process, JE IDs from PeopleSoft 8.9 and the international ledger systems are translated to a generic ID (e.g., X0000).

RETAINING DOCUMENTATION

Appropriate supporting documentation must be attached to all journal entries which include a copy of the posted journal entry and documentation supporting the amounts and purpose for the journal entry. **Note** that this requirement is not applicable for journal entries posted through the electronic workflow process that maintains an electronic record of journal entry activity and the related support.

In the case of journal entries with a significant volume of supporting documentation, the documentation should include a note as to where the backup is located. In the case of sensitive backup (e.g., payroll), a summary should be attached to the journal and reference made to the location of the source data.

PERMISSIBLE OVERRIDES OF POLICY

Permissible overrides to this policy can only be approved by (i) the VP of Consolidations, (ii) the SVP Controller, (iii) the Chief Accounting Officer or (iv) the Chief Financial Officer. Any requested overrides to this policy must state the exception that is being requested, the section of the policy to be superseded and the business purpose of the requested override.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

TERM/ ACRONYM	DEFINITION
Corporate Accounting and Finance Departments	Corporate Accounting and Finance Departments include all corporate office locations including Memphis, McLean, Dallas, Miami, Glasgow, Watford, etc.. This policy does not apply to day-to-day Hotel finance operations or Area Finance teams based in Watford, Dubai and Singapore.
Month-End Close Checklist	Checklist of tasks to be completed during the month end close process including listing

	of tasks (e.g., journal entries to be posted), business day due date, preparer and reviewer
System Generated Journals	Created through a system module process (e.g., A/P, Payroll) and are restricted to ensure no manual intervention is possible. A system generated report that is used to create a manual entry is not a system generated journal entry.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.

TOOLS/ TEMPLATES	LOCATION
Journal Entry Numbering Location Codes	Appendix A
Journal Entry Numbering Department Codes	Appendix B

Appendix A – Journal Entry Numbering Location Codes

<u>Location Code</u>	<u>Location Name</u>
D	Dubai
G	Glasgow
H	Hyderabad (prior to October 2017 indicated Hotel)
M	Memphis
P	Pennsylvania (Wilkes-Barre)
S	Singapore
V	Virginia
W	Watford

Appendix B – Journal Entry Numbering Department Codes

<u>Department Code</u>	<u>Department Name</u>
AP	Accounts Payable
AR	Accounts Receivable/ Credit
BR	Bank Reconciliation
CA	Corporate Accounting
CC	Corporate Finance – Cost Centre
CC	Credit Cards
CE	Centralized Accounting
CF	Corporate Finance – Central Finance
CI	Credit Investigation
CL	Resort Operations – Club
CM	Cash Management
DS	Distribution Services
FA	Fixed Assets
FC	Financial Compliance
FR	Financial Reporting
GL	Balance Sheet Management
HA	Hotel Accounting
HH	Hilton Honors
HO	Homeowner's Association
HR	Hilton Reservations
HS	HSM
MR	Management Reporting
ND	Net Direct Rates (Advance Purchase)
PF	Portfolio and Financial Accounting
PM	Resort Operations – Property Management
PR	Processing
PY	Payroll
RE	Real Estate Accounting
RN	Resort Operations – Rental
RT	Resort Operations – Retail
TX	Tax